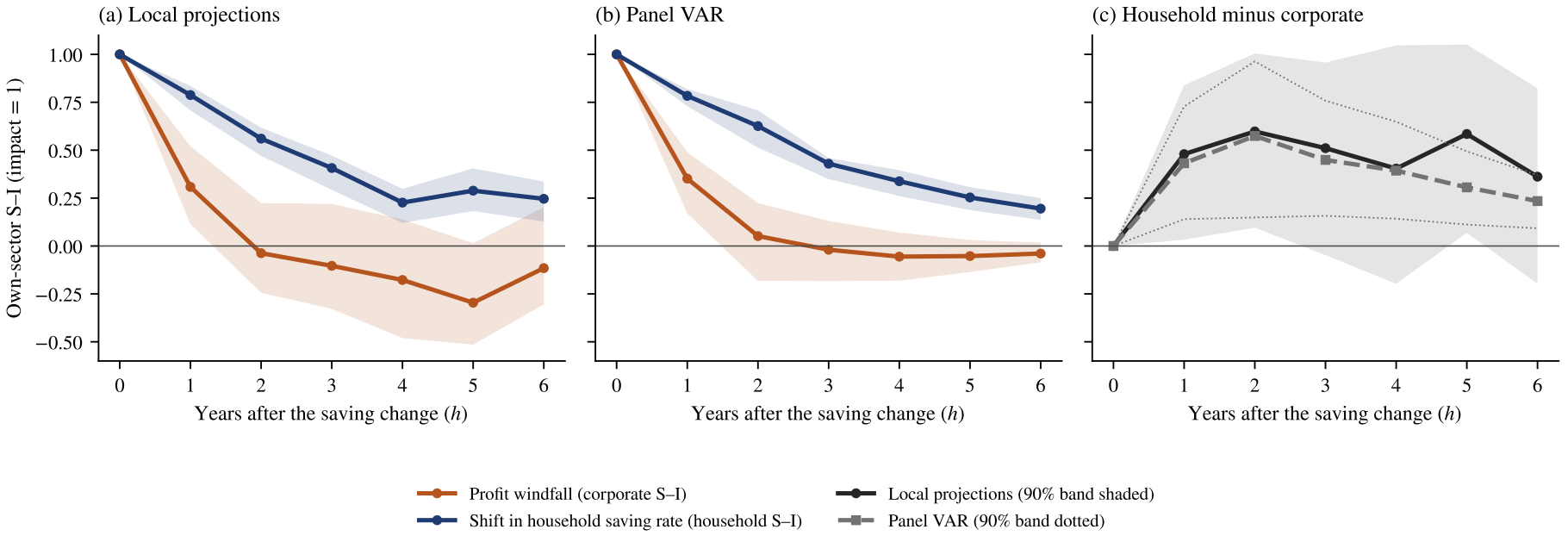
A profit windfall fades faster than a shift in household saving behavior



Notes: Local projections (N = 872, 39 economies): each sector's balance on the windfall or behavior component of its saving change and the remaining component, with two lags of the sector's balance (levels), both components and GDP growth, and country and year fixed effects; two-step weighted least squares. Panel VAR (1178 country-years, through 2025): the same four variables per sector, two lags, country and year fixed effects, recursive ordering [remaining component, shock, growth, balance]. Responses normalized by the impact response. Shaded areas in (a)–(b): 68 percent bands. Country-cluster bootstrap (499 replications).